

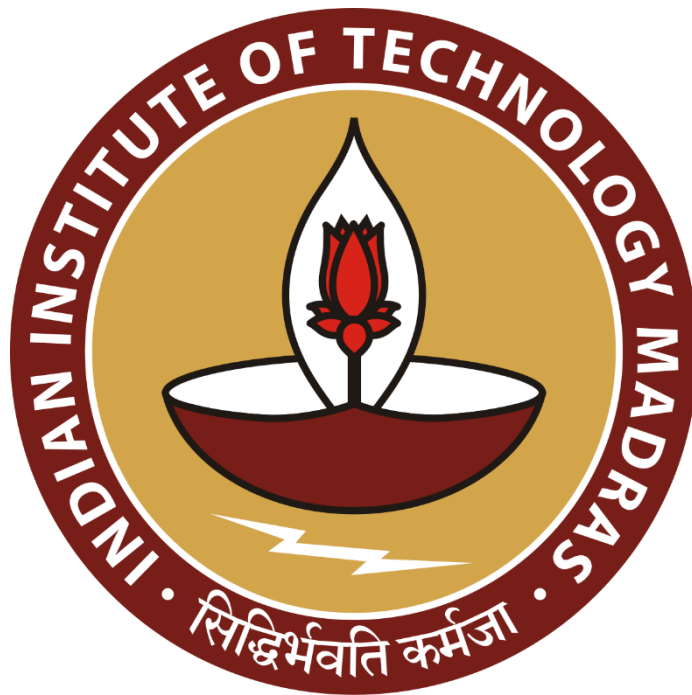
Enhancing Product Uptake in a Wellness-Focused Direct Selling Business Operating in an Emerging Market

A Proposal report for the BDM capstone Project

Submitted by

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Declaration Statement

I am working on a Project titled “ **Enhancing Product Uptake in a Wellness-Focused Direct Selling Business Operating in an Emerging Market**”. I extend my appreciation to **Kayal Wellness Center**, for providing the necessary resources that enabled me to conduct my project.

I hereby assert that the data presented and assessed in this project report is genuine and precise to the utmost extent of my knowledge and capabilities. The data has been gathered from primary sources and carefully analyzed to assure its reliability.

Additionally, I affirm that all procedures employed for the purpose of data collection and analysis have been duly explained in this report. The outcomes and inferences derived from the data are an accurate depiction of the findings acquired through thorough analytical procedures.

I am dedicated to adhering to the principles of academic honesty and integrity, and I am receptive to any additional examination or validation of the data contained in this project report.

I understand that the execution of this project is intended for individual completion and is not to be undertaken collectively. I thus affirm that I am not engaged in any form of collaboration with other individuals, and that all the work undertaken has been solely conducted by me. In the event that plagiarism is detected in the report at any stage of the project's completion, I am fully aware and prepared to accept disciplinary measures imposed by the relevant authority.

I understand that all recommendations made in this project report are within the context of the academic project taken up towards course fulfillment in the BS Degree Program offered by IIT Madras. The institution does not endorse any of the claims or comments.

Signature of Candidate:

A handwritten signature in black ink, appearing to be 'Jeevaharini K B', written in a cursive style.

Name: Jeevaharini K B

Date: 13/06/2025

1 Executive Summary and Title

This project focuses on a newly launched wellness-based direct selling business, Kayal Wellness Centre, operated by an independent Herbalife distributor located in Bodinayakanur, a semi-urban town in Tamil Nadu. The business follows a B2C model and primarily deals in nutritional supplements and personalized health coaching services.

The major business challenge is a low customer conversion rate. Although the wellness center has seen over 50 walk-in visitors for free body analysis sessions, only 7–8 have gone on to purchase products. The high product pricing (starting at ₹1000) appears to be a significant barrier in this price-sensitive locality, where many potential customers hesitate to make recurring purchases.

The project aims to address this issue by using primary data collection methods such as surveys, interviews, and direct observations. The data will be analyzed through descriptive statistics, cross-tabulations, and basic graphical visualizations, along with qualitative content analysis to uncover key barriers and motivations.

The expected outcome is to provide practical, data-backed recommendations that can help the distributor improve customer conversion, enhance communication of product value, and adopt strategies better suited to the economic profile of Bodinayakanur.

2 Organization Background

Herbalife Nutrition Ltd. is a global multi-level marketing company founded by Mark R. Hughes in 1980 and headquartered in Los Angeles, USA. Operating in over 90 countries, it generates more than \$5 billion in annual revenue. The company's mission is to improve lives through quality nutrition and business opportunities; its vision is to make the world healthier and happier.

Herbalife offers protein shakes, supplements, teas, vitamins, and skincare products through a direct-selling model powered by independent distributors. These distributors sell directly to consumers and offer personalized health coaching as part of the product experience.

This project focuses on a newly established distributor-managed Herbalife wellness center in Bodinayakanur, Tamil Nadu, founded and operated by Mrs.Sumathi and Mr.Saravanan,

licensed distributor. The center operates as a sole proprietorship under the B2C model. It offers free body analysis and personalized consultations to attract and convert customers, currently serving a small but developing client base.

Ref:

1. <https://en.wikipedia.org/wiki/Herbalife>

3 Problem Statement (Listed as objectives)

- 3.1 Problem statement 1: A majority of walk-in visitors leave without making a purchase, indicating a gap between interest and actual conversion that needs deeper investigation.
- 3.2 Problem statement 2: Customers perceive the products as expensive, especially in the context of Bodinayakanur's semi-urban income levels, which creates a pricing mismatch challenge.
- 3.3 Problem statement 3: There is limited understanding of what additional factors—beyond pricing—affect customer trust, product adoption, and long-term engagement, which this project intends to uncover and address.

4 Background of the Problem

The Herbalife wellness center in Bodinayakanur was established to provide nutritional guidance and premium wellness products in a growing but price-sensitive locality. While the center successfully attracts walk-in visitors through free body analysis and personalized consultations, the conversion rate from visitors to paying customers remains critically low. This problem has arisen due to a combination of internal and external factors.

The major cause of the problem lies in the mismatch between product pricing and local purchasing capacity. Products starting at ₹1000 are perceived as unaffordable in a semi-urban area where income levels are modest and discretionary spending on wellness is uncommon. Additionally, there is limited brand familiarity and skepticism toward global health products sold through MLM models.

Internally, the distributor is relatively new and lacks refined sales techniques tailored to this demographic. Communication gaps during consultations—especially regarding product benefits and value—further contribute to hesitation among potential buyers.

Externally, societal mindset, family influence, and reliance on traditional remedies discourage recurring purchases. Moreover, the absence of visible success stories within the local community undermines trust and motivation. This combination of factors has created a significant bottleneck that the project aims to analyze and address with targeted recommendations. The pricing of wellness products is perceived as high in this price-sensitive market, and the lack of clarity on influencing factors beyond price limits customer retention strategies. There is limited understanding of what additional factors—beyond pricing—affect customer trust, product adoption, and long-term engagement, which this project intends to uncover and address.

5 Problem Solving Approach

This project will apply a structured, data-driven approach to identify and address the customer conversion issue at the Herbalife wellness center in Bodinayakanur. The following multi-step methodology will be implemented:

1. **Root Cause Identification through Data Collection:** The first step involves collecting primary data through surveys, structured interviews, and observations. These will target current customers, non-returning visitors, and the distributor herself. The survey will focus on understanding affordability, satisfaction, perceived value, and purchasing intent. Interviews will explore customer emotions, hesitations, and motivators in greater depth.
2. **Data Analysis Using Statistical and Qualitative Techniques:** Quantitative data will be analyzed using descriptive statistics such as frequency distributions, averages, and cross-tabulations to identify patterns and highlight conversion bottlenecks. Visualizations like bar graphs and pie charts will make trends easier to interpret. Qualitative responses will be subjected to content analysis to extract recurring themes and sentiments.
3. **Application of Business Problem-Solving Frameworks:** Based on the insights, frameworks such as the 5 Whys technique and Fishbone (Ishikawa) diagram will be used to understand the root causes behind customer drop-off. SWOT analysis will help assess the internal and external business environment.
4. **Strategy Formulation Based on Data Insights:** The project will use the "IDEAL" approach (Identify, Define, Explore, Act, and Look back) to develop solutions. Based

on the findings, the project will propose realistic interventions—such as trial-size packages, first-time buyer discounts, improved customer education materials, or follow-up systems.

5. **Feedback Loop and Pilot Testing:** As a final step, the proposed solutions will be validated through feedback from current users or piloted on a small scale, where feasible. This will help test feasibility and refine recommendations before broader implementation.

By blending real-world business problem-solving techniques with statistical and qualitative research methods, this project will not only uncover why conversion is low but also guide the business toward actionable, context-appropriate strategies for growth in a price-sensitive market.

6 Expected Timeline

6.1 Work Breakdown Structure:

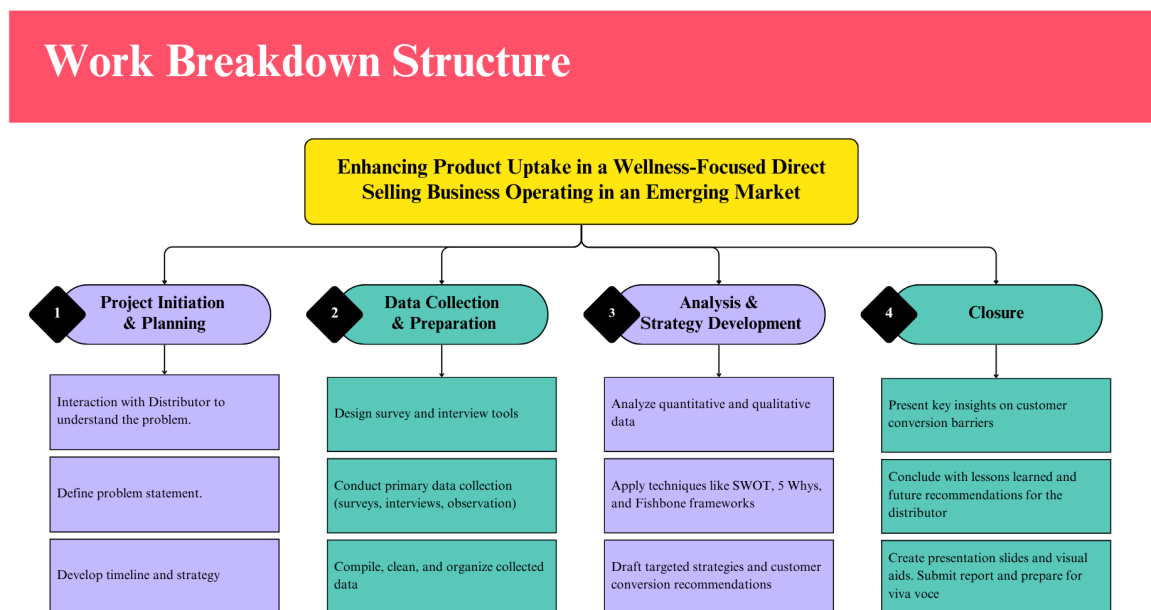


Figure 1 Work Breakdown Structure of project.

6.2 Gantt chart

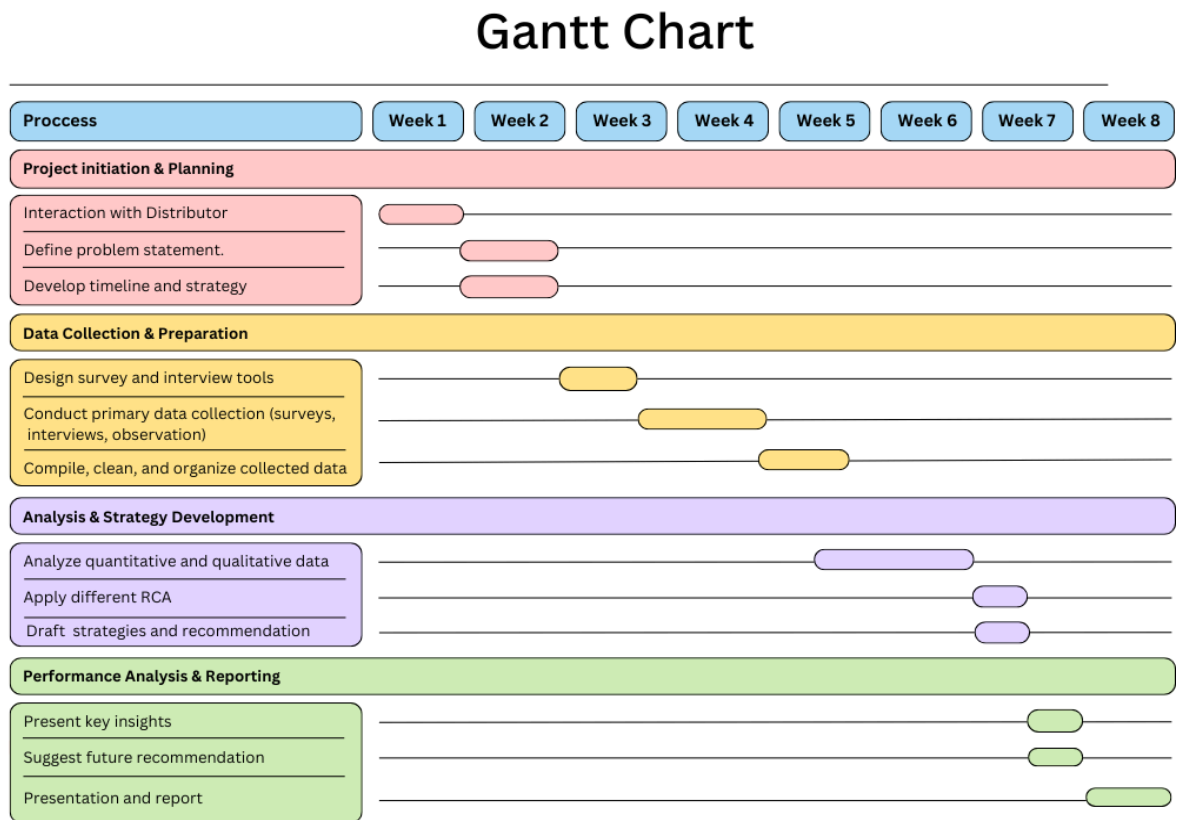


Figure 2 Gantt Chart of project.

7 Expected Outcome

This project is expected to provide a clear, data-driven understanding of the customer conversion problem faced by the Herbalife wellness center in Bodinayakanur. By analyzing both quantitative and qualitative primary data, the project aims to uncover the main reasons behind high drop-off rates—such as product pricing, lack of product trust, or communication gaps during consultations.

One of the core outcomes will be the identification of conversion barriers, helping the distributor recognize what stops walk-in visitors from becoming paying customers. In addition, the project will reveal which aspects of the customer experience (coaching, body analysis, product explanation) are valued most by those who do convert.

The findings will guide the distributor to develop more targeted marketing and sales strategies, such as offering trial-size packs, improving explanation of product value, or applying referral or discount models. The project will also support customer profiling, helping prioritize the right audience to focus efforts on.

Ultimately, the outcome will be a set of practical, implementable strategies that can lead to improved conversion, better customer retention, and more sustainable growth in a price-sensitive semi-urban market.